

Microsoft Corporation

MSFT — Q3 FY2025 Earnings Call Transcript (Illustrative, Condensed)

Call held April 2025

Speakers: Chief Executive Officer, Chief Financial Officer

Q&A; Participants: institutional equity research analysts (fictional, for demo purposes only)

Prepared Remarks (Condensed)

The Chief Executive Officer emphasized that Azure AI consumption is now diversified across a broad set of enterprise customers rather than concentrated among a small number of large adopters, and framed Copilot as the beginning of a multi-year re-platforming of knowledge work. The Chief Financial Officer said capital expenditure would remain elevated in the near term but reiterated confidence in the return profile of that spending given current Azure AI demand trends, and highlighted continued share buyback activity during the quarter.

Analyst Q&A; Session

Analyst, Meridian Capital Research

How should we think about the split between AI-driven and core Azure growth going forward?

Response: AI now contributes a mid-teens percentage-point share of Azure's overall growth rate, and that contribution is expected to continue rising as more customers move AI workloads from pilot to production.

Analyst, Highland Partners Equity Research

What gives you confidence that current capital expenditure levels are being deployed efficiently rather than ahead of demand?

Response: Existing AI infrastructure capacity continues to run at high utilization, and new capacity continues to be absorbed quickly by customer demand, though capacity additions can lead consumption by a quarter or more at times.

Analyst, Brightwater Securities

Can you give more detail on Copilot seat economics and expansion within existing accounts?

Response: Copilot pricing is generally additive to existing Microsoft 365 seat revenue, and early-adopting customers have shown a pattern of expanding seat counts after initial pilot deployments, though specific net-expansion figures for the product line were not disclosed.

Analyst, Cordero & Vance Research

How is the OpenAI relationship evolving, and should investors expect any changes to that commercial structure?

Response: The partnership remains a core part of the Company's AI strategy and the commercial arrangement continues to function as designed; the Company also continues to invest in its own first-party model research alongside the partnership.

Analyst, Northfield Global Markets

Are you seeing any pushback from customers on Azure AI pricing given increased competition from other cloud providers?

Response: Pricing competition exists across the cloud AI market, but customer decisions continue to be driven primarily by platform capability, integration with existing enterprise data, and reliability rather than price alone.

Analyst, Delacroix & Sto Capital

What is driving the margin expansion in Productivity and Business Processes this quarter?

Response: Margin expansion in that segment reflected continued operating leverage in Microsoft 365 commercial subscriptions and disciplined cost management, partially offset by continued investment in Copilot feature development.